

6. Is a reliance on foreign labour justifiable in your society?

KEY WORDS

Justifiable

- defensible, warranted, right, reasonable or acceptable

Reliance

- dependence on
- in the context of the question, 'reliance' may have negative connotations

Foreign labour

- both skilled and unskilled foreigners working in the country
- (foreign talent and foreign workers)

QUESTION REQUIREMENTS (Conceptual Understanding)

- Demonstrates understanding of 'justifiable' by considering
 - Clear contextualization of the issue (Singapore) based on the nature of Singapore and Singaporeans
 - The impacts and implications of a reliance on foreign labour
 - Understanding that there is a cost which makes it controversial
 - Students must provide CLEAR CRITERIA for Singapore's reliance on foreign labour. It should not be a simple list of the pros and cons of having foreign labour in Singapore. Nor should it be a mere explanation of how Singapore came to rely on foreign labour; just because SG is currently relying on foreign labour *does not mean that the reliance is, in and of itself, justified.*

APPROACH

A Arguments that reliance rely on foreign labour may seem justifiable

B Arguments that a reliance on foreign labour create problems which might undermine its justifiability

ARGUMENTS

A Arguments that reliance rely on foreign labour may seem justifiable

A1. Generally, it is believed that **Singapore's small population** makes a reliance on foreign labour justifiable, even **necessary, in the quest for economic growth**. Foreign labour relieve manpower pressure arising from the small population by providing the necessary labour force to sustain and grow the nation's economy. **Without the input of foreign labour, Singapore will not be able to achieve the level of production and wealth required to maintain the standard of living Singaporeans desire and have become accustomed to.**

Evidence

1. According the Singapore Department of Statistics, in a population of 5.45 million (2021), there are 3.50 million Singaporeans and 0.49 million permanent residents. The other 1.46 million

are foreign labour on various work visas, and they comprise almost 40% of the labour force. Without these foreign labour, Singapore will suffer extreme labour shortage **which will severely impede the continued functioning of the economy and consequently the prosperity enjoyed by the people. Growth will be near impossible.**

2. As per manpower ministry data, there are 1,231,500 foreign workers, including 177,000 Employment Pass holders, in Singapore as of December 2020, with most of them in the information and communications technology (19 per cent), professional services (19 per cent) and finance sector (15 per cent). **They are needed to sustain these sectors.**

An Employment Pass allows foreign professionals, managers and executives to work in Singapore. Other types of passes include S pass for mid-level skilled staff; Work Permit for semi-skilled foreign workers in construction, manufacturing, marine shipyard, process or services sector; and Work Permit for foreign domestic workers.

3. Manpower Minister Tan See Leng told Parliament (2021) that Singapore cannot close itself off to foreign workers and tell foreign investors that they can only hire Singaporeans, **as this would lead to many not investing in the city-state.**

A1b. In addition to fulfilling immediate demands, foreign labour **can enhance local labour by creating depth and scope in skills. They provide Singapore with the time and opportunity to develop local talents in fields where they are currently in short supply because they require new, high-tech skills which Singaporeans have yet to acquire or because they are jobs in sectors Singaporeans are not willing to undertake. Essentially **they fill the gaps** created by a mismatch between Singaporeans' ability and aspirations and the needs of the economy.**

Evidence

1. Of the Memorandums of Understanding (2015) signed between the governments of Singapore and India are: (1) the MoU signed between the Department of Economic Affairs, Ministry of Finance, Government of India and the Monetary Authority of Singapore on the constitution of a Joint Working Group (JWG) on Fintech between Indian and Singapore; (2) the MoU on cooperation in the area of cyber security and nursing; and (3) the MoU between the Indian Computer Emergency Response Team (CERT-IN) Ministry of Electronics and Information Technology, Government of India and the Singapore Computer Emergency Response Team (SINGCERT), cyber security agency of Singapore on cooperation in the area of cyber security. **All these are areas in which India has both the technological edge and skilled personnel needed to supplement the shortfalls in Singapore.**
2. To meet the needs of sectors such as domestic work, building and infrastructure construction, as well as ship repair and construction, the country has relatively open admission policies for migrant workers. **These are jobs which Singaporeans shun** as 3D jobs – dirty, difficult and dangerous – and also because they are relatively lowly paid and have little social prestige.

A2. Foreign labour may contribute to the **development of a creative minority** as well as **a more vibrant society**, which **Singaporeans continue to aspire to**. Immigrants are often more

adaptable, socially adept, adventurous and driven. **Without such characteristics, it is less likely that they would take the risks of emigrating.** Since **the government of Singapore has in place policies which carefully manage the influx of foreigners,** these people are also often highly educated, possessing skills in demand and **would not seriously undermine the social and political fabric of Singapore.** Instead, they often provide **the leadership and talents in** many different areas in our nation.

Evidence:

1. *Of the three Singaporean **banks**, two, DBS and OCBC, have expatriate CEOs. Only UOB has a Singaporean, Wee Ee Cheong, the grandson of the founder Wee Kheng Chiang. The CEO position in UOB has passed down the generations from father to son and to grandson.*
2. *The **biomedical** industry, a sector which is actively being promoted by the Singapore government as a growth area, has a large portion of its talents being foreigners. About half of A*Star research scientists are foreigners. Training a researcher can take more than a decade, and Singapore's biomedical sciences industry, launched by the government in the early 2000s is only slightly older than that.*
3. *The **information technology** industry, which is another growth area emphasized by the Singapore government, is booming but Singapore does not have enough talent. The main drivers and workers in the industry are Indian nationals.*
4. *Indranee Rajah, Member of Parliament, Minister in Prime Minister's Office, Second Minister for Finance since 2018 and Second Minister for National Development and Leader of the House since 2020 has noted that only one in four (25%) faculty members on the tenure-track in both NUS and Nanyang Technological University, and Singapore Management university, the figure is one in six (16%) and the Singapore University of Technology and Design's figure is one in three (33.3%). In other words, **Singaporeans faculty members are a minority in Singapore's universities.***
5. *The **Singapore Symphony Orchestra (SSO)** has appointed **Austrian** maestro Hans Graf as its Chief Conductor (2020). Yeh Tsung (from **Shanghai, China**) has been the music director of the **Singapore Chinese Orchestra (SCO)** since 2002.*

B. Arguments that a reliance on foreign labour create problems which might undermine its justifiability

B1. Rebuttal of A1 (demographic necessity for economic growth) and A1b (development of local labour)

B1a. The **availability and relative lower cost** of foreign labour may **hinder long term development of local labour** and **consequently the long term growth and stability of**

Singapore.

There is little incentive to invest in training and upskilling workers since it is cheaper and more efficient to import foreign labour. There is also little incentive to invest in technology or streamlining processes to make labour more efficient and productive. Consequently, over time, productivity stagnates rendering Singapore less attractive to investors.

B1b. On the lower end of the economic strata, the presence of foreign labours may **contribute to keeping wages down**, making the **sectors even less attractive to Singaporeans** resulting in the continued **reliance on foreign labours which can become problematic in a globalized world where labour is freer to move.** Labour will move to wherever wages or salaries are higher. Consequently, the cost of labour goes up or we lose the workers we need.

B1c. On the other end of spectrum, **high-tech skilled workers are in demand world-wide.** The **cost of such labour goes up exponentially in relation to demand.** Also as a **small nation with a high cost of living, a highly competitive and stress-filled society with few options for leisure entertainment, the strict laws** and **even the hot, humid weather** are some factors making Singapore not very attractive to foreigners, especially **highly skilled ones with better options.** Singapore will find it harder and harder to attract the needed talents. Hence, a reliance on foreign labour may not be the wisest choice in the long run **whereas investment in local labour benefits only the economy but also the citizens.**

Evidence

- 1. The Singapore government has invested a lot in training for workers and streamlining and upgrading for business in the effort to maintain and ensure the productivity of labour and hence Singapore as an investment destination.*
- 2. In 2022's budget, the government has set aside SGD100 million for upskilling and training labour and SGD2.41 billion for the university sector to train high quality graduate manpower to support Singapore's economic needs.*

B1d. **The higher skilled labour is perceived as unfair competition**, stealing jobs and keeping wages down. **All these contribute to an increase in xenophobia. The spread of such adverse views on the internet tends to reinforce such sentiments**, and are often accepted by the people especially when they are believed to be voicing out the feelings of the people in contrast with mainstream press which is often seen as mere government mouthpieces.

Evidence

- 1. In 2020, concerns about competition for jobs from foreigners dominated the first of parliamentary debate on the President's Address. The then Trade and Industry Minister Chan Chun Sing, had to justify the government's policy on foreign labour and explained that the 'above average' foreigners are helping to build a more competitive economy which help generate jobs. The debate clearly reflected the citizens' concerns about skilled foreign labour.*

2. *In 2018, an article by the States Times Review, an Facebook 'news' page made claims which while erroneous, may have resonated with some Singaporeans. States Time Review has since taken down the article.*

STR claims:

- The Government admitted that more foreigners are taking away jobs of Singaporeans.
- A total of 3,000 Singaporeans lost their jobs from March 2018 to June 2018, as the number of unemployed Singaporeans increased from 57,600 to 60,600.
- Foreigners gained 11,800 jobs in the same period.

MOM clarifies:

- MOM publishes data on local/foreign employment growth on a half yearly basis, with the next release in September 2018.
- The most recent release, in March 2018, showed that local employment growth in 2017 was 21,300, while foreign employment growth was *minus* 32,000.

An increase in unemployment for Singaporeans:

- Cannot be attributed solely to job losses;
- Could be due to more Singaporeans entering the job market, or voluntary job leavers looking for new jobs, as the economy picks up;
- Must be read with other labour market data such as employment, resignation, re-entry into employment and labour force participation. For example, while the unemployment rate inched up in 2017, local employment growth almost doubled.

B2. Rebuttal to A2 (social benefits)

B2a. Beyond the economic costs and problems associated with a reliance on foreign labour, there are also social, cultural and political costs which make it less desirable.

Foreign labour are by nature a transient population. They are in the country for economic and pragmatic reasons. Their allegiance is to their home countries and not Singapore, hence there can be little expectation of loyalty to the nation or the long term good of Singapore.

Evidence:

1. *In Chinatown and elsewhere, even in the food courts in HDB neighbourhoods, foreign food stalls are driving out some local food vendors. The food scene in Chinatown has come to be dominated by businesses own by Chinese nationals, offering foods, like 'Mala hotpot', which are quite foreign to native Singaporeans.*

2. *Residents in the Little India area complain about the behaviours of the workers who gather there on weekends, that they are noisy and unruly. The shopkeepers' business are affected when Singaporeans keep away.*
3. *Residents living near purpose built dormitories for Indian construction workers suffer almost daily the noise they make when gather in the evening at the void decks or open spaces in the estate. It has been reported that they get drunk, talk loudly and get into fights. The even urinate indiscriminately.*

B2b. Furthermore, **their very presence can be a challenge to the social fabric of Singapore** as their lifestyles, culture and beliefs may be quite different from mainstream Singaporean. Even their manner of speech and behaviour can become a cause of concern. **There is the threat of dilution to local culture and potential for tension between the foreigners and the locals.**

The **reports in the press** of incidences involving foreigners have **reinforced prejudices and discrimination against foreign labour**. Foreign labour are often perceived as backward and ignorant because a large number of them are in the lower skilled sectors like construction, shipbuilding and as domestic workers.

And they, especially the lower skilled workers, are highly visible as they tend to congregate on their off-days in specific areas: Indians in Little India, Filipinas at Orchard Road, Myanmar at Peninsula Plaza, and Thais at Beach Road. **Their large numbers increases the likelihood of them becoming an annoyance to the local people as they may be perceived as 'taking over' the area** and their differences are emphasized.

Evidence:

1. *Riot at Little India*
On Sunday, 8 December 2013, a riot that lasted about two hours erupted in Little India, following a fatal traffic accident that had occurred along Race Course Road. Some 300 rioters, all of them assumed to foreigners, took part in the unrest, which was the worst case of public violence in Singapore in over four decades. About 240 officers from the Singapore Police Force (SPF) as well as 56 from the Singapore Civil Defence Force (SCDF) were deployed to the scene. The riot left 54 responding officers and eight civilians injured, while 29 vehicles were damaged, five of which were burnt. As a result of the incident, measures such as increased police presence and alcohol restrictions have been implemented in Little India to prevent a repeat of such unrest.
2. *Newspaper reports on the behaviour of foreign workers and their behaviours tend to highlight the bad. Reports of 'happy-hour' sessions at HDB void decks or open areas that begin at about 8.00 p.m. and can go on till 2.00 a.m. in the morning, even on week nights where they sit on the floor in small groups drinking and carousing and leaving behind a mess of empty bottles and cigarette butts, create and reinforce the prejudices against them. The gatherings often caused residents to feel unsafe when they walk pass them on their way home or out, especially later at night when they had time to get high on alcohol.*